

NORTHBRIDGE DYNAMICS PVT. LTD.

Performance Management and Promotion Policy

Document detail	Information
Document ID	HR-08
Version	2.5
Effective date	1 January 2026
Policy owner	HR Business Partners
Approved by	Chief People Officer
Applies to	All confirmed employees; probationers are covered by HR-07

1. Purpose

This policy explains how goals are set, performance is reviewed and rated, and how increments and promotions are decided, so that decisions are fair and transparent.

2. Performance Cycle

Period	Activity
1 April to 30 April	Goal setting. Each employee agrees 4 to 6 goals with the manager, entered on the portal.
1 October to 31 October	Mid-year check-in. Progress review and goal adjustment; no rating is given.
1 March to 15 April	Self-review and manager review for the financial year (April to March).
16 April to 15 May	Calibration across teams by department heads and HR.
By 31 May	Final ratings and increments communicated to employees.
June	Increment and variable pay paid with salary; increments are effective from 1 April and arrears are paid.

Employees who join on or before 30 September of a financial year are included in that year's rating and increment (pro-rated). Those who join later are first reviewed in the next cycle.

3. Rating Scale

Rating	Label	Meaning
5	Outstanding	Far exceeds goals; major impact on the Company or customers
4	Exceeds Expectations	Consistently goes beyond goals
3	Meets Expectations	Delivers fully on goals and behaviours
2	Partially Meets Expectations	Delivers some goals; improvement needed
1	Needs Improvement	Does not meet most goals

Ratings are given after calibration and are not decided by the manager alone. A forced distribution is not used, but department-level distributions are reviewed for fairness.

4. Increment Guidelines

Rating	Indicative increment range
5 - Outstanding	12% to 15%
4 - Exceeds Expectations	9% to 11%
3 - Meets Expectations	5% to 8%
2 - Partially Meets	0% to 3%
1 - Needs Improvement	No increment

Note: ranges are indicative and subject to the approved annual budget. They are not a guarantee.

5. Promotion

- Promotions are considered once a year along with the annual review, with effect from 1 April.
- Eligibility: at least **12 months** in the current role, rating of **4 or above** in the last cycle (or 3 with exceptional demonstrated impact, with department head approval), consistently showing the skills of the next band, and a business need for the role.
- The manager nominates; the department head and HR validate at calibration.
- Promotion outside the cycle (a "spot promotion") is possible only for exceptional cases with the approval of the Head of HR and the department head.

6. Performance Improvement Plan (PIP)

- An employee rated 1, or rated 2 for two consecutive years, may be placed on a PIP of 90 days.
- The PIP states clear targets, support from the manager, and fortnightly reviews.
- If the targets are met, the PIP ends. If not, it can lead to a role change, extension of up to 30 days, or termination with notice, after HR review.

7. Feedback and Disagreement

Employees can discuss ratings with the manager and HRBP. If you still disagree, raise a grievance under HR-10 within 10 working days of receiving the rating. Ratings are changed only if a process error or bias is found.

Revision History

Version	Date	Summary of change
2.5	1 January 2026	Annual review and update. Fictional policy created for demonstration of the HR helpdesk chatbot.